



Moody's

Third Quarter 2017 Earnings Call

November 3, 2017

Overview

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Global Head of Investor Relations and Communications

Disclaimer

Certain statements contained in this document are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements in this document are made as of the date hereof, and Moody's disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, Moody's is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, world-wide credit market disruptions or an economic slowdown, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the U.K.'s referendum vote whereby the U.K. citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting world-wide credit markets, international trade and economic policy; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. Other factors, risks and uncertainties relating to our acquisition of Bureau van Dijk could cause our actual results to differ, perhaps materially, from those indicated by these forward-looking statements, including risks relating to the integration of Bureau van Dijk's operations, products and employees into Moody's and the possibility that anticipated synergies and other benefits of the acquisition will not be realized in the amounts anticipated or will not be realized within the expected timeframe; risks that the acquisition could have an adverse effect on the business of Bureau van Dijk or its prospects, including, without limitation, on relationships with vendors, suppliers or customers; claims made, from time to time, by vendors, suppliers or customers; changes in the European or global marketplaces that have an adverse effect on the business of Bureau van Dijk; and other factors, risks and uncertainties relating to the transaction as set forth under the caption "'Safe Harbor' Statement under the Private Securities Litigation Reform Act of 1995" in Moody's report on Form 8-K filed on May 15, 2017, which are incorporated by reference herein. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2016, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

Agenda

1. Third Quarter and Year-to-Date 2017 Results

Ray McDaniel, President and Chief Executive Officer

2. Third Quarter Financial Highlights

Linda Huber, Executive Vice President and Chief Financial Officer

3. Current 2017 Outlook

Ray McDaniel, President and Chief Executive Officer

4. Q&A

Ray McDaniel, President and Chief Executive Officer

Linda Huber, Executive Vice President and Chief Financial Officer

Mark Almeida, President, Moody's Analytics

Rob Fauber, President, Moody's Investors Service

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Third Quarter and Year-to-Date 2017 Results

Ray McDaniel

President and Chief Executive Officer

Third Quarter 2017 Results and Comparison to Third Quarter 2016

Moody's Corporation

» Revenue	↑	16% to \$1.1 billion
» Operating Expenses	↑	19% to \$618 million — Of which Bureau van Dijk operating expenses and Acquisition-Related Expenses constituted eight percentage points
» Operating Income	↑	12% to \$445 million
» Adjusted Operating Income ¹	↑	14% to \$499 million

¹ Adjusted operating income is defined as operating income before depreciation and amortization, Acquisition-Related Expenses and a restructuring charge in 2016.

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

Moody's Corporation

» Operating Margin	●	41.9%
» Adjusted Operating Margin	●	46.9%
» Diluted EPS ¹	↑	24% to \$1.63
» Adjusted Diluted EPS ^{1,2,3}	↑	10% to \$1.52

¹ Third quarter 2017 diluted EPS and adjusted diluted EPS include a \$0.04 per share tax benefit related to the adoption of accounting standard update ASU 2016-09, "Improvements to Employee Share-Based Payment Accounting."

² Third quarter 2017 adjusted diluted EPS excludes a \$0.23 per share gain from a foreign currency hedge associated with the Bureau van Dijk acquisition, \$0.08 per share related to amortization of all acquisition-related intangibles and \$0.04 per share of Acquisition-Related Expenses.

³ Third quarter 2016 adjusted diluted EPS excludes \$0.04 per share related to amortization of all acquisition-related intangibles and \$0.03 per share from a restructuring charge.

Year-to-Date 2017 Results and Comparison to Year-to-Date 2016

Moody's Corporation Revenue

- » Total Global  14% to \$3.0 billion
- » U.S.  10% to \$1.7 billion
- » Non-U.S.  20% to \$1.3 billion
- » Total Global  Impact of foreign currency translation was negligible

Year-to-Date 2017 Results and Comparison to Year-to-Date 2016 (continued)

MIS Revenue

- » Total MIS  16% to almost \$2.1 billion
- » U.S.  12% to \$1.3 billion
- » Non-U.S.  24% to \$787 million

Year-to-Date 2017 Results and Comparison to Year-to-Date 2016 (continued)

MA Revenue

- » Total MA  10% to \$990 million
- » U.S.  6% to \$471 million
- » Non-U.S.  14% to \$518 million
- » Excluding Bureau van Dijk, organic MA revenue was \$959 million, up 7%

Year-to-Date 2017 Results and Comparison to Year-to-Date 2016 (continued)

Moody's Corporation

» Operating Expenses



9% to approximately \$1.7 billion

- Of which Bureau van Dijk operating expenses and Acquisition-Related Expenses constituted three percentage points
- Foreign currency translation favorably impacted expense by 1%

» Operating Income



21% to \$1.3 billion

- Foreign currency translation favorably impacted operating income by 1%

» Adjusted Operating Income



21% to \$1.5 billion

Year-to-Date 2017 Results and Comparison to Year-to-Date 2016 (continued)

Moody's Corporation

- » Operating Margin ● 44.3%
- » Adjusted Operating Margin ● 48.4%
- » Effective Tax Rate ● 29.0%

- » Raising FY 2017 diluted EPS guidance to a range of \$6.18 to \$6.33
- » Anticipate FY 2017 adjusted diluted EPS now to be in the range of \$5.85 to \$6.00¹
- » Both ranges are up approximately \$0.50 from prior guidance

¹ Adjusted diluted EPS excludes \$0.36 per share gain from a foreign currency hedge associated with Bureau van Dijk, \$0.31 per share CCXI gain, \$0.23 per share related to amortization of all acquisition-related intangibles and \$0.11 per share of Acquisition-Related Expenses.

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Third Quarter 2017 Financial Highlights

Linda Huber

Executive Vice President and Chief Financial Officer

Third Quarter 2017 Results and Comparison to Third Quarter 2016

Moody's Corporation Revenue

- » Total Global  16% to \$1.1 billion
- » U.S.  8% to \$588 million
- » Non-U.S.  28% to \$475 million
- 45% of total revenue
- » Total Global  Foreign currency translation favorably impacted Moody's revenue by 1%
- » Recurring Revenue  16% to \$535 million
- 50% of total revenue

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

MIS Revenue

» Total MIS	↑	13% to \$694 million
» U.S.	↑	9% to \$428 million
» Non-U.S.	↑	21% to \$267 million - 38% of total MIS revenue
» Total MIS	↑	Foreign currency translation favorably impacted MIS revenue by 1%

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

MIS Revenue by Line of Business

- » Corporate Finance: \$350 million
 - Global ↑ 17%
 - U.S. ↑ 17%
 - Non-U.S. ↑ 17%
- » Structured Finance: \$128 million
 - Global ↑ 23%
 - U.S. ↑ 25%
 - Non-U.S. ↑ 19%

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

MIS Revenue by Line of Business

- » Financial Institutions: \$102 million
 - Global ↑ 7%
 - U.S. ↓ 2%
 - Non-U.S. ↑ 13%
- » Public, Project & Infrastructure Finance: \$109 million
 - Global ↑ 4%
 - U.S. ↓ 16%
 - Non-U.S. ↑ 53%
- » MIS Other: \$4 million; down 41% due to the divestiture of a non-core subsidiary of ICRA in late 2016

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

MA Revenue by Geography

- » Total MA  21% to \$369 million
- » U.S.  4% to \$161 million
- » Non-U.S.  38% to \$208 million
- 56% of total MA revenue
- » Total MA  Foreign currency translation favorably impacted MA revenue by 1%
- » Excluding Bureau van Dijk, total organic MA revenue for third quarter 2017 was \$339 million, up 11%

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

MA Revenue by Line of Business

» Research, Data and Analytics: \$218 million¹

- Global	↑ 30%	- 59% of total MA revenue
- U.S.	↑ 7%	
- Non-U.S.	↑ 65%	

» Excluding Bureau van Dijk, global organic RD&A revenue was \$188 million, up 12%

¹ Bureau van Dijk's revenue contribution for third quarter 2017 was reduced by \$14 million as a result of a deferred revenue adjustment required as part of acquisition accounting.

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

MA Revenue by Line of Business

» Enterprise Risk Solutions: \$113 million

- Global	↑	11%
- U.S.	↓	4%
- Non-U.S.	↑	21%

» ERS TTM¹ Revenue ↑ 6%

» ERS TTM¹ Sales ↑ 7%

» ERS TTM¹ Product Sales ↑ 17%

» ERS TTM¹ Services Sales ↓ 18%

1 Trailing twelve months ended September 30, 2017.

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

MA Revenue by Line of Business

» Professional Services: \$38 million

- Global	↑	6%
- U.S.	↑	5%
- Non-U.S.	↑	6%

Third Quarter 2017 Results and Comparison to Third Quarter 2016 (continued)

Moody's Corporation

- » Operating Expenses
 - ↑ 19% to \$618 million
 - Of which Bureau van Dijk operating expenses and Acquisition-Related Expenses constituted eight percentage points
 - Impact of foreign currency translation was negligible
- » Operating Margin
 - 41.9%
- » Adjusted Operating Margin
 - 46.9%
- » Effective Tax Rate
 - 31.4%

Capital Allocation

Third Quarter 2017

- » Repurchased 0.2 million shares at a total cost of \$29 million, or an average cost of \$130.75 per share
- » Issued 0.3 million shares as part of its employee stock-based compensation plans
- » Returned \$73 million to its shareholders via dividend payments

Dividend Announcement

- » On October 23, 2017, announced a regular quarterly dividend of \$0.38 per share of Moody's common stock payable December 12, 2017 to stockholders of record at the close of business on November 21, 2017

Capital Allocation (continued)

Year-to-Date 2017

- » Repurchased 1.4 million shares at a total cost of \$164 million, or an average cost of \$116.70 per share
- » Issued approximately 2.2 million shares as part of its employee stock-based compensation plans
- » Returned \$218 million to its shareholders via dividend payments
- » As of September 30, 2017, shares outstanding totaled 191.1 million
 - Approximately flat to September 30, 2016
- » As of September 30, 2017, approximately \$600 million of share repurchase authority remaining

Bureau van Dijk Acquisition Financing

- » Acquisition closed on August 10, 2017
 - Approximately €3 billion, or \$3.5 billion
- » Moody's issued approximately \$1.8 billion of debt:
 - \$1.0 billion of notes
 - \$500 million term loan
 - \$300 million of commercial paper
 - Combined interest rate of approximately 2.6%
 - In 3Q 2017, incremental interest expense associated with these items amounted to \$0.03 per share
- » The balance of the purchase price was funded by:
 - \$1.4 billion of offshore cash
 - Approximately \$300 million of U.S. cash on hand
 - Approximately \$100 million purchase price hedge gain due to the appreciation of the euro from the acquisition announcement date to the close date

Balance Sheet and Free Cash Flow

- » As of September 30, 2017, Moody's had:
 - \$5.7 billion of outstanding debt
 - Approximately \$700 million of additional borrowing capacity available under its revolving credit facility
 - Total cash, cash equivalents and short-term investments of \$1.1 billion
 - Approximately 74% held outside the U.S.
- » Cash flow from operations in the first nine months of 2017 was \$343 million, down from \$889 million in the first nine months of 2016¹
- » Free cash flow in the first nine months of 2017 was \$273 million, down from \$804 million in the first nine months of 2016¹

¹ Declines in cash flow from operations and free cash flow were due to payments the Company made in the first quarter of 2017 pursuant to its 2016 settlement with the Department of Justice and various states attorneys general.

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Current 2017 Outlook

Ray McDaniel

President and Chief Executive Officer

Current 2017 Outlook

Moody's outlook assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of \$1.34 to £1 and for the euro (€) of \$1.18 to €1.

Changes to 2017 Full-Year Financial Outlook ¹	
MCO	Current Guidance as of November 3, 2017
Diluted EPS ²	\$6.18 to \$6.33
Adjusted Diluted EPS ^{2,3}	\$5.85 to \$6.00
Revenue	increase in the low-teens percent range
Operating expenses	decrease in the 20 to 25 percent range
Adjusted operating expenses ⁴	increase in the low-double-digit percent range
Depreciation & amortization	approximately \$160 million
Free cash flow	approximately \$600 million

¹ Refer to Table 12 – “2017 Outlook” in the press release for a full view of guidance.

² Diluted EPS and adjusted diluted EPS ranges include an estimated \$0.20 per share tax benefit due to the adoption of the new accounting standard for equity compensation.

³ Adjusted diluted EPS excludes \$0.36 per share purchase price hedge gain, \$0.31 per share CCXI gain, \$0.23 per share related to amortization of all acquisition-related intangibles, and \$0.11 cents per share of Acquisition-Related Expenses.

⁴ Adjusted operating expense excludes 2016 settlement and restructuring charges and Acquisition-Related Expenses in 2017.

Current 2017 Outlook (continued)

Changes to 2017 Full-Year Financial Outlook¹

MIS	Current Guidance as of November 3, 2017
Revenue	increase in the low-teens percent range
U.S.	increase in the low-double-digit percent range
Non-U.S.	increase in high-teens percent range
Corporate Finance	increase in the low-twenties percent range
Structured Finance	increase approximately 10%
Financial Institutions	increase in low-double-digit percent range
Public, Project & Infrastructure Finance	approximately flat

¹ Refer to Table 12 –“2017 Outlook” in the press release for a full review of guidance.

Current 2017 Outlook (continued)

Changes to 2017 Full-Year Financial Outlook¹

MA	Current Guidance as of November 3, 2017
Revenue ^{2,3}	increase in the low-teens percent range
Non-U.S.	increase in the low-twenties percent range
Research, Data & Analytics ^{2,3}	increase in the low-twenties percent range

¹ Refer to Table 12 – “2017 Outlook” in the press release for a full review of guidance.

² Excluding Bureau van Dijk, MA and RD&A revenues are still expected to increase in the high-single digit and low-double digit percent ranges, respectively.

³ Bureau van Dijk’s revenue contribution for full year 2017 will be reduced by an estimated \$39 million (\$14 million in the third quarter and an estimated \$25 million in the fourth quarter) as a result of a deferred revenue adjustment required as part of acquisition accounting.

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Q&A

Ray McDaniel

President and Chief Executive Officer

Linda Huber

Executive Vice President and Chief Financial Officer

Mark Almeida

President, Moody's Analytics

Rob Fauber

President, Moody's Investors Service

USD Market: Issuance Views From Investment Banks

Views on this page are from various investment banks. Issuance views are for both financial and non-financial U.S. dollar issuance and may not align with Moody's revenue categorizations.

	YTD 2017	FY 2017E
Investment Grade Bonds	~\$1.1 trillion	Flat to Up 5%
» Investment grade bond issuance remains on pace with record 2016 levels » October issuance of ~\$120 billion was largest October on record and November expected to be greater than \$75 billion » Spreads remain near three-year tights and current state of the market is robust		
High Yield Bonds	~\$250 billion	Up 10% to 15%
» High yield bond issuance remains substantially above last year's levels » Similar to the investment grade market, high yield spreads are near three-year tights » Low volatility in the face of geopolitical tensions has also contributed to an issuer-friendly environment		
Leveraged Loans	~\$550 billion	Up ~40%
» Leveraged loan market conditions are very strong with a benign outlook on the prospect for rising rates » Heavy refinancing and repricing activity as issuers capitalize on strong investor demand » CLO issuance at ~\$90 billion (up 80% year-to-date)		

Euro Market: Issuance Views From Investment Banks

Views on this page are from various investment banks. Issuance views are for both financial and non-financial euro issuance and may not align with Moody's revenue categorizations.

Investment Grade

- » Busy period of investment grade bond issuance expected for the remainder of the year as spreads and rates remain near historic lows
- » Positive investor fund flows, ECB QE, and Eurozone GDP growth running at the fastest pace in seven years also continue to support the market
- » BoE raised interest rates yesterday for the first time in a decade, but indicated that another increase isn't imminent due to concerns around the potential impact of Brexit

Speculative Grade

- » General market sentiment remains very positive with a strong pipeline across both high yield bonds and leveraged loans
- » Credit spreads continue to compress, offering issuers record low rates

Drivers of FY 2017 Adjusted Diluted EPS Guidance Increase



FY'17 Adjusted Diluted EPS Guidance (Old - as of 7/21/17)	Legacy Amortization of Acquisition-Related Intangibles	Legacy MCO Business Performance¹	Bureau van Dijk Business Performance²	FY'17 Adjusted Diluted EPS Guidance (New - as of 11/3/17)
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¹ Legacy MCO Business Performance includes \$0.04 from adoption of ASU 2016-09 .

² Bureau van Dijk Business Performance excludes amortization of acquisition-related intangibles and Acquisition-Related Expenses. Net impact of Bureau van Dijk on adjusted diluted EPS also includes (\$0.14) for deal-related financing, which was already included in old adjusted diluted EPS guidance as of 7/21/17.

Next Investor Day

Moody's Corporation will hold its next Investor Day on February 28, 2018 in New York City. The event, which will be webcast live, will feature presentations from management and showcase important aspects of the Company's business.

Replay Details

» Available from 3:30pm (Eastern Time) November 3, 2017 until 3:30pm (Eastern Time) December 2, 2017

» Telephone Details:

- US +1-888-203-1112
- Non-US +1-719-457-0820
- Passcode 5032731

» Webcast Details:

- Go to ir.moody's.com
- Click on “Events & Presentations”
- Click on the link for “3Q 2017 Earnings Conference Call”



MOODY'S

Appendix

Consolidated Statements of Operations

(Unaudited)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2017	2016	2017	2016
<i>Amounts in millions, except per share amounts</i>				
Revenue	\$ 1,062.9	\$ 917.1	\$ 3,038.6	\$ 2,662.1
Expenses:				
Operating	317.2	253.2	880.4	761.3
Selling, general and administrative	247.2	225.3	686.8	683.2
Restructuring	-	8.4	-	12.0
Depreciation and amortization	43.0	32.7	108.4	93.8
Acquisition-Related Expenses	10.1	-	16.7	-
Total expenses	617.5	519.6	1,692.3	1,550.3
Operating income	445.4	397.5	1,346.3	1,111.8
Non-operating (expense) income, net				
Interest expense, net	(48.1)	(35.4)	(135.5)	(103.8)
Other non-operating income (expense), net	(1.4)	6.9	(2.5)	15.5
CCXI Gain	-	-	59.7	-
Purchase price hedge gain	69.9	-	111.1	-
Total non-operating income (expense), net	20.4	(28.5)	32.8	(88.3)
Income before provision for income taxes	465.8	369.0	1,379.1	1,023.5
Provision for income taxes	146.1	112.4	399.9	322.2
Net income	319.7	256.6	979.2	701.3
Less: net income attributable to noncontrolling interests	2.4	1.3	4.1	6.1
Net income attributable to Moody's Corporation	\$ 317.3	\$ 255.3	\$ 975.1	\$ 695.2
Earnings per share attributable to Moody's common shareholders				
Basic	\$ 1.66	\$ 1.33	\$ 5.10	\$ 3.60
Diluted	\$ 1.63	\$ 1.31	\$ 5.02	\$ 3.55
Weighted average number of shares outstanding				
Basic	191.1	191.7	191.1	193.3
Diluted	194.1	194.3	194.1	196.0

Supplemental Revenue Information

(Unaudited)

Amounts in millions	Three Months Ended September 30,		Nine Months Ended September 30,	
	2017	2016	2017	2016
Moody's Investors Service				
Corporate Finance	\$ 350.2	\$ 299.6	\$ 1,058.8	\$ 844.7
Structured Finance	128.3	104.2	347.7	306.3
Financial Institutions	102.1	95.8	316.8	280.4
Public, Project and Infrastructure Finance	109.2	105.2	312.0	309.0
MIS Other	4.4	7.5	13.8	22.6
Intersegment royalty	29.0	25.3	82.0	73.9
Sub-total MIS	723.2	637.6	2,131.1	1,836.9
Eliminations	(29.0)	(25.3)	(82.0)	(73.9)
Total MIS revenue	694.2	612.3	2,049.1	1,763.0
Moody's Analytics				
Research, Data and Analytics	218.4	167.7	574.7	500.9
Enterprise Risk Solutions	112.6	101.5	305.8	288.5
Professional Services	37.7	35.6	109.0	109.7
Intersegment revenue	4.1	4.2	11.6	9.8
Sub-total MA	372.8	309.0	1,001.1	908.9
Eliminations	(4.1)	(4.2)	(11.6)	(9.8)
Total MA revenue	368.7	304.8	989.5	899.1
Total Moody's Corporation revenue	\$ 1,062.9	\$ 917.1	\$ 3,038.6	\$ 2,662.1
Moody's Corporation revenue by geographic area				
United States	\$ 588.4	\$ 545.7	\$ 1,734.0	\$ 1,571.6
International	474.5	371.4	1,304.6	1,090.5
	\$ 1,062.9	\$ 917.1	\$ 3,038.6	\$ 2,662.1

Selected Consolidated Balance Sheet Data

(Unaudited)

	September 30, 2017	December 31, 2016
<i>Amounts in millions</i>		
Cash and cash equivalents	\$ 962.8	\$ 2,051.5
Short-term investments	108.3	173.4
Total current assets	2,278.9	3,253.1
Non-current assets	6,026.0	2,074.2
Total assets	8,304.9	5,327.3
Total current liabilities ^(1,2)	1,982.7	2,428.2
Total debt ⁽³⁾	5,721.4	3,363.0
Other long-term liabilities	1,371.7	863.4
Total shareholders' (deficit)	(156.8)	(1,027.3)
Total liabilities and shareholders' (deficit)	8,304.9	5,327.3
Actual number of shares outstanding	191.1	190.7

⁽¹⁾ The 2016 amount includes an \$863.8 million accrued settlement charge related to the agreement with the U.S. Department of Justice and 21 U.S. states and the District of Columbia to resolve pending and potential civil claims related to credit ratings that MIS assigned to certain structured finance instruments in the financial crisis era. This settlement charge was paid by the Company in the first quarter of 2017.

⁽²⁾ Both periods include \$300 million of debt classified as a current liability as the maturities are within twelve months of the balance sheet date. The 2017 amount also includes \$314.8 million of borrowings under the Company's commercial paper program.

⁽³⁾ Includes debt classified in both current liabilities and long-term debt.

Selected Consolidated Balance Sheet Data (continued)

(Unaudited)

Total debt consists of the following:

September 30, 2017					
Amounts in millions	Principal Amount	Fair Value of Interest Rate Swap ⁽¹⁾	Unamortized (Discount) Premium	Unamortized Debt Issuance Costs	Carrying Value
Notes Payable:					
5.50% 2010 Senior Notes, due 2020	\$ 500.0	\$ 4.1	\$ (1.1)	\$ (1.3)	\$ 501.7
4.50% 2012 Senior Notes, due 2022	500.0	-	(2.1)	(1.8)	496.1
4.875% 2013 Senior Notes, due 2024	500.0	-	(1.9)	(2.5)	495.6
2.75% 2014 Senior Notes (5-Year), due 2019	450.0	(0.1)	(0.3)	(1.2)	448.4
5.25% 2014 Senior Notes (30-Year), due 2044	600.0	-	3.3	(5.7)	597.6
1.75% 2015 Senior Notes, due 2027	591.1	-	-	(3.5)	587.6
2.75% 2017 Senior Notes, due 2021	500.0	-	(1.4)	(3.4)	495.2
2017 Floating Rate Senior Notes, due 2018	300.0	-	-	(0.7)	299.3
2.625% 2017 Private Placement Notes, due 2023	500.0	-	(1.1)	(3.7)	495.2
3.25% 2017 Private Placement Notes, due 2028	500.0	-	(5.3)	(4.0)	490.7
2017 Term Loan Facility, due 2020	500.0	-	-	(0.8)	499.2
Commercial Paper	315.0	-	(0.2)	-	314.8
Total debt	\$ 5,756.1	\$ 4.0	\$ (10.1)	\$ (28.6)	\$ 5,721.4
Current portion					(614.1)
Total long-term debt					5,107.3

December 31, 2016					
Amounts in millions	Principal Amount	Fair Value of Interest Rate Swap ⁽¹⁾	Unamortized (Discount) Premium	Unamortized Debt Issuance Costs	Carrying Value
Notes Payable:					
6.06% Series 2007-1 Notes due 2017	\$ 300.0	\$ -	\$ -	\$ -	\$ 300.0
5.50% 2010 Senior Notes, due 2020	500.0	5.5	(1.3)	(1.6)	502.6
4.50% 2012 Senior Notes, due 2022	500.0	(0.2)	(2.4)	(2.1)	495.3
4.875% 2013 Senior Notes, due 2024	500.0	-	(2.1)	(2.7)	495.2
2.75% 2014 Senior Notes (5-Year), due 2019	450.0	0.9	(0.4)	(1.7)	448.8
5.25% 2014 Senior Notes (30-Year), due 2044	600.0	-	3.3	(5.9)	597.4
1.75% 2015 Senior Notes, due 2027	527.4	-	-	(3.7)	523.7
Total debt	\$ 3,377.4	\$ 6.2	\$ (2.9)	\$ (17.7)	\$ 3,363.0
Current portion					(300.0)
Total long-term debt					3,063.0

⁽¹⁾ The Company has entered into interest rate swaps on the 2010 Senior Notes, 2012 Senior Notes and the 2014 Senior Notes (5-Year).

Non-Operating (Expense) Income, Net

Table 5 - Non-Operating (Expense) Income, Net

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2017	2016	2017	2016
<i>Amounts in millions</i>				
Interest:				
Expense on borrowings ⁽¹⁾	\$ (48.8)	\$ (35.6)	\$ (139.9)	\$ (105.6)
Income	4.3	2.5	13.0	8.2
Legacy Tax benefit	-	0.2	-	0.2
UTPs and other tax related liabilities	(3.9)	(2.5)	(9.4)	(7.0)
Interest Capitalized	0.3	-	0.8	0.4
Total interest expense, net	<u>\$ (48.1)</u>	<u>\$ (35.4)</u>	<u>\$ (135.5)</u>	<u>\$ (103.8)</u>
Other non-operating (expense) income, net:				
FX gain (loss)	\$ (6.7)	\$ 4.3	\$ (12.5)	\$ 9.1
Legacy Tax benefit	-	1.6	-	1.6
Joint venture income	2.7	2.3	7.7	7.2
Other	2.6	(1.3)	2.3	(2.4)
Other non-operating (expense) income, net	<u>(1.4)</u>	<u>6.9</u>	<u>(2.5)</u>	<u>15.5</u>
CCXI Gain ⁽²⁾	-	-	59.7	-
Purchase Price Hedge Gain ⁽³⁾	69.9	-	111.1	-
Total non-operating (expense) income, net	<u>\$ 20.4</u>	<u>\$ (28.5)</u>	<u>\$ 32.8</u>	<u>\$ (88.3)</u>

⁽¹⁾ The three and nine month periods ending September 30, 2017 reflect interest and fees on \$1.5 billion in notes and a term-loan issued as well as a \$1.5 billion undrawn bridge loan facility to fund the acquisition of Bureau van Dijk. Additionally, includes interest on \$800 million in notes issued to fund a settlement with the U.S. Department of Justice and various state attorneys general and the repayment of the Series 2007-1 Notes.

⁽²⁾ Reflects the non-cash, non-taxable gain from a strategic realignment and expansion involving Moody's China affiliate, China Cheng Xin International Credit Rating Co. Ltd.

⁽³⁾ Reflects a realized gain on a foreign currency collar and forward contracts to economically hedge the Bureau van Dijk euro-denominated purchase price.

Financial Information by Segment

The table below presents revenue, adjusted operating income and operating income by reportable segment. The Company defines adjusted operating income as operating income excluding depreciation and amortization, Acquisition-Related Expenses and restructuring.

Amounts in millions	Three Months Ended September 30,							
	2017				2016			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	\$ 723.2	\$ 372.8	\$ (33.1)	\$ 1,062.9	\$ 637.6	\$ 309.0	\$ (29.5)	\$ 917.1
Operating, selling, general and administrative expense	319.2	278.3	(33.1)	564.4	272.8	235.2	(29.5)	478.5
Adjusted operating income	<u>404.0</u>	<u>94.5</u>	<u>-</u>	<u>498.5</u>	<u>364.8</u>	<u>73.8</u>	<u>-</u>	<u>438.6</u>
Restructuring	-	-	-	-	7.6	0.8	-	8.4
Acquisition-Related Expenses	-	10.1	-	10.1	-	-	-	-
Depreciation and amortization	18.6	24.4	-	43.0	19.1	13.6	-	32.7
Operating income	<u>\$ 385.4</u>	<u>\$ 60.0</u>	<u>\$ -</u>	<u>\$ 445.4</u>	<u>\$ 338.1</u>	<u>\$ 59.4</u>	<u>\$ -</u>	<u>\$ 397.5</u>
Adjusted operating margin	55.9%	25.3%		46.9%	57.2%	23.9%		47.8%
Operating margin	53.3%	16.1%		41.9%	53.0%	19.2%		43.3%

	Nine Months Ended September 30,							
	2017				2016			
	MIS	MA	Eliminations	Consolidated	MIS	MA	Eliminations	Consolidated
Revenue	\$ 2,131.1	\$ 1,001.1	\$ (93.6)	\$ 3,038.6	\$ 1,836.9	\$ 908.9	\$ (83.7)	\$ 2,662.1
Operating, selling, general and administrative expense	898.9	761.9	(93.6)	1,567.2	830.1	698.1	(83.7)	1,444.5
Adjusted operating income	<u>1,232.2</u>	<u>239.2</u>	<u>-</u>	<u>1,471.4</u>	<u>1,006.8</u>	<u>210.8</u>	<u>-</u>	<u>1,217.6</u>
Restructuring	-	-	-	-	10.2	1.8	-	12.0
Acquisition-Related Expenses	-	16.7	-	16.7	-	-	-	-
Depreciation and amortization	56.4	52.0	-	108.4	54.8	39.0	-	93.8
Operating income	<u>\$ 1,175.8</u>	<u>\$ 170.5</u>	<u>\$ -</u>	<u>\$ 1,346.3</u>	<u>\$ 941.8</u>	<u>\$ 170.0</u>	<u>\$ -</u>	<u>\$ 1,111.8</u>
Adjusted operating margin	57.8%	23.9%		48.4%	54.8%	23.2%		45.7%
Operating margin	55.2%	17.0%		44.3%	51.3%	18.7%		41.8%

Transaction and Relationship Revenue

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes and shelf registrations. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and analytical and research engagements.

	Three Months Ended September 30,					
	2017			2016		
<i>Amounts in millions</i>	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	\$ 254.3 73%	\$ 95.9 27%	\$ 350.2 100%	\$ 211.2 70%	\$ 88.4 30%	\$ 299.6 100%
Structured Finance	\$ 84.1 66%	\$ 44.2 34%	\$ 128.3 100%	\$ 62.8 60%	\$ 41.4 40%	\$ 104.2 100%
Financial Institutions	\$ 40.6 40%	\$ 61.5 60%	\$ 102.1 100%	\$ 39.4 41%	\$ 56.4 59%	\$ 95.8 100%
Public, Project and Infrastructure Finance	\$ 71.1 65%	\$ 38.1 35%	\$ 109.2 100%	\$ 66.7 63%	\$ 38.5 37%	\$ 105.2 100%
MIS Other	\$ 0.4 9%	\$ 4.0 91%	\$ 4.4 100%	\$ 2.6 35%	\$ 4.9 65%	\$ 7.5 100%
Total MIS	\$ 450.5 65%	\$ 243.7 35%	\$ 694.2 100%	\$ 382.7 63%	\$ 229.6 37%	\$ 612.3 100%
Moody's Analytics	\$ 77.6 21%	\$ 291.1 79%	\$ 368.7 100%	\$ 74.6 24%	\$ 230.2 76%	\$ 304.8 100%
Total Moody's Corporation	\$ 528.1 50%	\$ 534.8 50%	\$ 1,062.9 100%	\$ 457.3 50%	\$ 459.8 50%	\$ 917.1 100%

Transaction and Relationship Revenue (continued)

The tables below summarize the split between transaction and relationship revenue. In the MIS segment, excluding MIS Other, transaction revenue represents the initial rating of a new debt issuance as well as other one-time fees while relationship revenue represents the recurring monitoring of a rated debt obligation and/or entities that issue such obligations, as well as revenue from programs such as commercial paper, medium-term notes and shelf registrations. In MIS Other, transaction revenue represents revenue from professional services and outsourcing engagements and relationship revenue represents subscription based revenues. In the MA segment, relationship revenue represents subscription-based revenues and software maintenance revenue. Transaction revenue in MA represents software license fees and revenue from risk management advisory projects, training and certification services, and analytical and research engagements.

Nine Months Ended September 30,

	2017			2016		
	Transaction	Relationship	Total	Transaction	Relationship	Total
Corporate Finance	\$ 777.4 73%	\$ 281.4 27%	\$ 1,058.8 100%	\$ 577.8 68%	\$ 266.9 32%	\$ 844.7 100%
Structured Finance	\$ 216.8 62%	\$ 130.9 38%	\$ 347.7 100%	\$ 180.6 59%	\$ 125.7 41%	\$ 306.3 100%
Financial Institutions	\$ 137.9 44%	\$ 178.9 56%	\$ 316.8 100%	\$ 106.2 38%	\$ 174.2 62%	\$ 280.4 100%
Public, Project and Infrastructure Finance	\$ 197.5 63%	\$ 114.5 37%	\$ 312.0 100%	\$ 193.7 63%	\$ 115.3 37%	\$ 309.0 100%
MIS Other	\$ 1.0 7%	\$ 12.8 93%	\$ 13.8 100%	\$ 8.2 36%	\$ 14.4 64%	\$ 22.6 100%
Total MIS	\$ 1,330.6 65%	\$ 718.5 35%	\$ 2,049.1 100%	\$ 1,066.5 60%	\$ 696.5 40%	\$ 1,763.0 100%
Moody's Analytics	\$ 205.0 21%	\$ 784.5 79%	\$ 989.5 100%	\$ 216.7 24%	\$ 682.4 76%	\$ 899.1 100%
Total Moody's Corporation	\$ 1,535.6 51%	\$ 1,503.0 49%	\$ 3,038.6 100%	\$ 1,283.2 48%	\$ 1,378.9 52%	\$ 2,662.1 100%

Adjusted Operating Income and Adjusted Operating Margin

Adjusted Financial Measures

The tables below reflect certain adjusted results that the SEC defines as "non-GAAP financial measures" as well as a reconciliation of each adjusted measure to its most directly comparable GAAP measure. Management believes that such adjusted financial measures, when read in conjunction with the Company's reported results, can provide useful supplemental information for investors analyzing period-to-period comparisons of the Company's performance, facilitate comparisons to competitors' operating results and to provide greater transparency to investors of supplemental information used by management in its financial and operational decision-making. These adjusted measures, as defined by the Company, are not necessarily comparable to similarly defined measures of other companies. Furthermore, these adjusted measures should not be viewed in isolation or used as a substitute for other GAAP measures in assessing the operating performance or cash flows of the Company.

The Company presents Adjusted Operating Income because management deems this metric to be a useful measure of assessing the operating performance of Moody's. Adjusted Operating Income excludes depreciation and amortization, Acquisition-Related Expenses and restructuring. Acquisition-Related Expenses consist of expenses incurred to complete and integrate the acquisition of Bureau van Dijk. Depreciation and amortization are excluded because companies utilize productive assets of different ages and use different methods of acquiring and depreciating productive assets. Acquisition-Related Expenses are excluded due to the material nature of these expenses which are not expected to recur at this dollar magnitude subsequent to the completion of the multi-year integration effort. Acquisition related expenses from previous acquisitions were not material. Restructuring charges are excluded as the frequency and magnitude of these charges may vary widely across periods and companies. Management believes that the exclusion of depreciation and amortization, Acquisition-Related Expenses and restructuring, as detailed in the reconciliation below, allows for an additional perspective on the Company's operating results from period to period and across companies. The Company defines Adjusted Operating Margin as Adjusted Operating Income divided by revenue.

<i>Amounts in millions</i>	Three Months Ended September 30,		Nine Months Ended September 30,	
	2017	2016	2017	2016
Operating income	\$ 445.4	\$ 397.5	\$ 1,346.3	\$ 1,111.8
Restructuring	-	8.4	-	12.0
Depreciation & amortization	43.0	32.7	108.4	93.8
Acquisition-Related Expenses	10.1	-	16.7	-
Adjusted operating income	\$ 498.5	\$ 438.6	\$ 1,471.4	\$ 1,217.6
Operating margin	41.9%	43.3%	44.3%	41.8%
Adjusted operating margin	46.9%	47.8%	48.4%	45.7%

Free Cash Flow

The table below reflects a reconciliation of the Company's net cash flows from operating activities to free cash flow. The Company defines free cash flow as net cash provided by operating activities minus payments for capital additions. Management deems capital expenditures essential to the Company's product and service innovations and maintenance of Moody's operational capabilities. Accordingly, capital expenditures are deemed to be a recurring use of Moody's cash flow. Management believes that free cash flow is a useful metric in assessing the Company's cash flows to service debt, pay dividends and to fund acquisitions and share repurchases.

Amounts in millions

Net cash flows provided by operating activities

Capital additions

Free cash flow

Net cash used in investing activities

Net cash provided by (used in) financing activities

Nine Months Ended September 30,		
	2017	2016
\$	342.7	\$ 889.0
	(69.4)	(84.8)
\$	273.3	\$ 804.2
\$	(3,407.4)	\$ (2.4)
\$	1,896.7	\$ (915.0)

Organic Revenue and Growth Measures

The Company presents the organic revenue and growth for the MA segment and RD&A LOB because management deems this metric to be a useful measure which provides additional perspective in assessing the revenue growth of the Company's MA segment and RD&A LOB excluding the revenue impacts from the acquisition of Bureau van Dijk, a material acquisition. The Company calculates the organic revenue and growth by excluding \$30 million in revenue from Bureau van Dijk (which is net of a \$14 million reduction to revenue due to a \$52 million fair value adjustment to acquired deferred revenue) from the global MA revenue and RD&A revenue. Below is a reconciliation of the Company's organic revenue and growth rates:

<i>Amounts in millions</i>	Three Months Ended September 30,				Nine Months Ended September 30,			
	2017	2016	Change	Growth	2017	2016	Change	Growth
MA Revenue	\$ 368.7	\$ 304.8	\$ 63.9	21%	\$ 989.5	\$ 899.1	\$ 90.4	10%
Less: Bureau van Dijk Revenue	30.2	-	30.2	10%	30.2	-	30.2	3%
Organic MA revenue	<u>\$ 338.5</u>	<u>\$ 304.8</u>	<u>\$ 33.7</u>	<u>11%</u>	<u>\$ 959.3</u>	<u>\$ 899.1</u>	<u>\$ 60.2</u>	<u>7%</u>

<i>Amounts in millions</i>	Three Months Ended September 30,			
	2017	2016	Change	Growth
RD&A Revenue	\$ 218.4	\$ 167.7	\$ 50.7	30%
Less: Bureau van Dijk Revenue	30.2	-	30.2	18%
Organic RD&A revenue	<u>\$ 188.2</u>	<u>\$ 167.7</u>	<u>\$ 20.5</u>	<u>12%</u>

Adjusted Net Income and Adjusted Diluted Earnings per Share Attributable to Moody's Common Shareholders

Beginning in the third quarter of 2017, the Company modified this adjusted measure to exclude the impact of amortization of acquired intangible assets as companies utilize intangible assets with different ages and have different methods of acquiring and amortizing intangible assets. Furthermore, the timing and magnitude of business combination transactions are not predictable and the purchase price allocated to amortizable intangible assets and the related amortization period are unique to each acquisition and can vary significantly from period to period and across companies. Also, management believes that excluding acquisition-related amortization expense provides additional perspective when comparing operating results from period to period, and with both acquisitive and non-acquisitive peer companies.

In addition to excluding acquisition-related amortization expense, current and prior-year adjusted net income and adjusted diluted earnings per share exclude the CCXI Gain, the Purchase Price Hedge Gain, Acquisition-Related Expenses and restructuring charges. The Company excludes these items to provide additional perspective on the Company's operating results from period to period and across companies as the frequency and magnitude of similar transactions may vary widely across periods. Additionally, the Acquisition-Related Expenses are excluded due to the material nature of these expenses which are not expected to recur at this dollar magnitude subsequent to the completion of the multi-year integration effort relating to Bureau van Dijk. Acquisition-Related Expenses from previous acquisitions were not material.

Below is a reconciliation of this measure to its most directly comparable U.S. GAAP amount.

Amounts in millions

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2017	2016	2017	2016
Net income attributable to Moody's common	\$ 317.3	\$ 255.3	\$ 975.1	\$ 695.2
Pre-Tax Restructuring	-	8.4	-	12.0
Tax on Restructuring	-	(2.7)	-	(3.9)
Net Restructuring	-	5.7	-	8.1
CCXI Gain	-	-	(59.7)	-
Pre-Tax Acquisition-Related Expenses	\$ 10.1	\$ -	\$ 16.7	\$ -
Tax on Acquisition-Related Expenses	(1.6)	-	(1.6)	-
Acquisition-Related Expenses ⁽¹⁾	8.5	-	15.1	-
Pre-Tax Purchase Price Hedge Gain	\$ (69.9)	\$ -	\$ (111.1)	\$ -
Tax on Purchase Price Hedge Gain	25.5	-	41.4	-
Net Purchase Price Hedge Gain	(44.4)	-	(69.7)	-
Pre-Tax Acquisition-Related Intangible Amortization Expenses	\$ 18.8	\$ 8.9	\$ 35.9	\$ 25.5
Tax on Acquisition-Related Intangible	(5.0)	(2.6)	(9.9)	(7.3)
Net Acquisition-Related Intangible Amortization Expenses	13.8	6.3	26.0	18.2
Adjusted net income attributable to Moody's common shareholders	<u>\$ 295.2</u>	<u>\$ 267.3</u>	<u>\$ 886.8</u>	<u>\$ 721.5</u>

⁽¹⁾ Certain Acquisition-Related Expenses are not deductible for tax.

Adjusted Net Income and Adjusted Diluted Earnings per Share Attributable to Moody's Common Shareholders (continued)

Beginning in the third quarter of 2017, the Company modified this adjusted measure to exclude the impact of amortization of acquired intangible assets as companies utilize intangible assets with different ages and have different methods of acquiring and amortizing intangible assets. Furthermore, the timing and magnitude of business combination transactions are not predictable and the purchase price allocated to amortizable intangible assets and the related amortization period are unique to each acquisition and can vary significantly from period to period and across companies. Also, management believes that excluding acquisition-related amortization expense provides additional perspective when comparing operating results from period to period, and with both acquisitive and non-acquisitive peer companies.

In addition to excluding acquisition-related amortization expense, current and prior-year adjusted net income and adjusted diluted earnings per share exclude the CCXI Gain, the Purchase Price Hedge Gain, Acquisition-Related Expenses and restructuring charges. The Company excludes these items to provide additional perspective on the Company's operating results from period to period and across companies as the frequency and magnitude of similar transactions may vary widely across periods. Additionally, the Acquisition-Related Expenses are excluded due to the material nature of these expenses which are not expected to recur at this dollar magnitude subsequent to the completion of the multi-year integration effort relating to Bureau van Dijk. Acquisition-Related Expenses from previous acquisitions were not material.

Below is a reconciliation of this measure to its most directly comparable U.S. GAAP amount.

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2017	2016	2017	2016
Earnings per share attributable to Moody's common shareholders	\$ 1.63	\$ 1.31	\$ 5.02	\$ 3.55
Pre-Tax Restructuring	-	\$ 0.04	-	\$ 0.06
Tax on Restructuring	-	(0.01)	-	(0.02)
Net Restructuring	-	0.03	-	0.04
CCXI Gain	-	-	(0.31)	-
Pre-Tax Acquisition-Related Expenses	\$ 0.05	\$ -	\$ 0.09	\$ -
Tax on Acquisition-Related Expenses	(0.01)	-	(0.01)	-
Acquisition-Related Expenses ⁽¹⁾	0.04	-	0.08	-
Pre-Tax Purchase Price Hedge Gain	\$ (0.36)	\$ -	\$ (0.57)	\$ -
Tax on Purchase Price Hedge Gain	0.13	-	0.21	-
Net Purchase Price Hedge Gain	(0.23)	-	(0.36)	-
Amortization Expenses	\$ 0.10	\$ 0.05	\$ 0.18	\$ 0.13
Tax on Acquisition-Related Intangible	(0.02)	(0.01)	(0.04)	(0.04)
Amortization Expenses	0.08	0.04	0.14	0.09
Adjusted Diluted EPS attributable to Moody's common shareholders	<u>\$ 1.52</u>	<u>\$ 1.38</u>	<u>\$ 4.57</u>	<u>\$ 3.68</u>

⁽¹⁾ Certain Acquisition-Related Expenses are not deductible for tax.

2017 Outlook

Moody's outlook for 2017 is based on assumptions about many macroeconomic and capital market factors, including interest rates, foreign currency exchange rates, corporate profitability and business investment spending, merger and acquisition activity, consumer borrowing and securitization, and the amount of debt issued. These assumptions are subject to some degree of uncertainty, and results for the year could differ materially from our current outlook. Moody's guidance assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of \$1.34 to £1 and for the euro (€) of \$1.18 to €1.

Full-year 2017 Moody's Corporation guidance		
MOODY'S CORPORATION	Current guidance	Last publicly disclosed guidance
Revenue	increase in the low-teens percent range	increase in the high-single-digit percent range
Operating expenses ⁽¹⁾	decrease in the 20% to 25% range	decrease in the 25% to 30% range
Adjusted operating expense ⁽²⁾	increase in the low-double-digit percent range	increase in the mid-single-digit percent range
Depreciation & amortization	approximately \$160 million	approximately \$135 million
Operating margin	approximately 43%	NC
Adjusted operating margin ⁽²⁾	approximately 47%	NC
Effective tax rate	approximately 30%	NC
Diluted EPS	\$6.18 - \$6.33	\$5.69 - \$5.84
Adjusted Diluted EPS ⁽²⁾	\$5.85 - \$6.00	\$5.35 - \$5.50
Capital expenditures	approximately \$100 million	NC
Operating cash flow ⁽³⁾	approximately \$700 million	approximately \$600 million
Free cash flow ^(2,3)	approximately \$600 million	approximately \$500 million
Share repurchases	approximately \$200 million (subject to available cash, market conditions and other ongoing capital allocation decisions)	NC
NC- There is no difference between the Company's current guidance and the last publicly disclosed guidance for this item. Note: All last publicly disclosed guidance is as of July 21, 2017. (1) Operating expenses in 2016 include the settlement charge related to an agreement with the U.S. Department of Justice and the attorneys general of 21 U.S. states and the District of Columbia as well as a restructuring charge associated with cost management initiatives. (2) These metrics are adjusted measures. See below for reconciliation of these measures to their comparable GAAP measure. (3) Includes payment of the settlement charge related to an agreement with the U.S. Department of Justice and the attorneys general of 21 U.S. states and the District of Columbia.		

2017 Outlook (continued)

Moody's outlook for 2017 is based on assumptions about many macroeconomic and capital market factors, including interest rates, foreign currency exchange rates, corporate profitability and business investment spending, merger and acquisition activity, consumer borrowing and securitization, and the amount of debt issued. These assumptions are subject to some degree of uncertainty, and results for the year could differ materially from our current outlook. Moody's guidance assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast reflects exchange rates for the British pound (£) of \$1.34 to £1 and for the euro (€) of \$1.18 to €1.

Full-year 2017 revenue guidance		
MIS	Current guidance	Last publicly disclosed guidance
MIS global	increase in the low-teens percent range	increase in the high-single-digit percent range
MIS U.S.	increase in the low-double-digit percent range	increase in the mid-single-digit percent range
MIS Non-U.S.	increase in the high-teens percent range	increase in the low-teens percent range
CFG	increase in the low-twenties percent range	increase in the low-teens percent range
SFG	approximately 10%	increase in the mid-single-digit percent range
FIG	increase in the low-double-digit percent range	increase in the high-single-digit percent range
PPIF	approximately flat	increase in the low-single-digit percent range
MA		
MA global ⁽⁴⁾	increase in the low-teens percent range	increase in the high-single-digit percent range
MA U.S.	increase in the mid-single-digit percent range	NC
MA Non-U.S.	increase in the low-twenties percent range	increase in the low-double-digit percent range
RD&A ⁽⁴⁾	increase in the low-twenties percent range	increase in the low-double-digit percent range
ERS	increase in the mid-single-digit percent range	NC
PS	increase in the low-single-digit percent range	NC
NC- There is no difference between the Company's current guidance and the last publicly disclosed guidance for this item. Note: All last publicly disclosed guidance is as of July 21, 2017. (4) Excluding Bureau van Dijk, MA global and RD&A current guidance has not changed since the last publicly disclosed guidance for these items.		

2017 Outlook (continued)

The following are reconciliations of the Company's adjusted forward looking measures to their comparable GAAP measure:

	Projected for the Year Ended December 31, 2017
Operating margin guidance	Approximately 43%
Depreciation and amortization	Approximately 3%
Acquisition-Related Expenses	Approximately 1%
Adjusted operating margin guidance	Approximately 47%

	Projected for the Year Ended December 31, 2017
Operating expenses guidance	Decrease in the 20% to 25% range <i>Impact of 2016 settlement and restructuring charges and 2017 Bureau van Dijk acquisition-related expenses</i>
Adjusted operating expense guidance	Increase in the low-double-digit percent range

	Projected for the Year Ended December 31, 2017
Operating cash flow guidance	Approximately \$700 million
Capital expenditures	Approximately \$100 million
Free cash flow guidance	Approximately \$600 million

2017 Outlook (continued)

The following are reconciliations of the Company's adjusted forward looking measures to their comparable GAAP measure.

		Projected for the Year Ended December 31, 2017
Diluted EPS attributable to Moody's common shareholders - GAAP Guidance		\$ 6.18 - 6.33
CCXI Gain		(0.31)
Pre-Tax Acquisition-Related Expenses	\$ 0.12	
Tax on Acquisition-Related Expenses ⁽¹⁾	(0.01)	
Net Acquisition-Related Expenses		0.11
Pre-Tax Purchase Price Hedge Gain	(0.57)	
Net Tax on Purchase Price Hedge Gain	0.21	
Purchase Price Hedge Gain		(0.36)
Pre-Tax Acquisition-Related Intangible Amortization Expenses	0.32	
Tax on Acquisition-Related Intangible Amortization Expenses	(0.09)	
Net Acquisition-Related Intangible Amortization Expenses		0.23
Diluted EPS attributable to Moody's common shareholders - Non-GAAP Guidance		\$ 5.85 - 6.00

⁽¹⁾ Certain Acquisition-Related Expenses are not deductible for tax.

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